

January 15, 2026

CALIFORNIA DEPARTMENT OF SOCIAL SERVICES

EXECUTIVE SUMMARY

ALL COUNTY LETTER NO. 26-04

The purpose of this All County Letter is to provide County Welfare Departments with guidance on the extension of the CalFresh Standard Medical Deduction Demonstration Project.



JENNIFER TROIA
DIRECTOR

CALIFORNIA HEALTH & HUMAN SERVICES AGENCY
DEPARTMENT OF SOCIAL SERVICES
744 P Street • Sacramento, CA 95814 • www.cdss.ca.gov



GAVIN NEWSOM
GOVERNOR

January 15, 2026

ALL COUNTY LETTER NO. 26-04

TO: ALL COUNTY WELFARE DIRECTORS
ALL CALWORKS PROGRAM SPECIALISTS
ALL CALFRESH PROGRAM SPECIALISTS
ALL CONSORTIA REPRESENTATIVES
ALL QUALITY CONTROL PROGRAM COORDINATORS

SUBJECT: CALFRESH STANDARD MEDICAL DEDUCTION
DEMONSTRATION PROJECT EXTENSION APPROVAL

REFERENCE: [FOOD AND NUTRITION ACT OF 2008 SECTION 17\(b\)\(1\)\(A\)](#);
[FOOD AND NUTRITION ACT OF 2008 SECTION 5\(e\)\(5\)](#);
[7 CODE OF FEDERAL REGULATIONS \(CFR\) SECTION 271.2](#);
[7 CFR SECTION 273.2\(f\)\(1\)\(iv\)](#);
[ALL COUNTY LETTER \(ACL\) NO. 17-35](#); [ACL NO. 21-117](#);
[ACL NO. 21-117E](#); [ACL NO. 24-59](#)

The purpose of this All County Letter (ACL) is to provide County Welfare Departments (CWDs) with guidance regarding the extension of the CalFresh Standard Medical Deduction (SMD) Demonstration Project (the Project) through September 30, 2029.

BACKGROUND

The California Department of Social Services (CDSS) was originally authorized by the United States Department of Agriculture (USDA), Food and Nutrition Service (FNS) to operate the Project for the period beginning October 1, 2017, and ending September 30, 2021. Under the Project, CDSS established an SMD of \$120.00 for households containing an elderly and/or disabled member, with verified medical expenses between \$35.01 and \$155.00 per month, instead of requiring those households with an elderly or disabled member to verify actual medical expenses in excess of \$35.00 per month. The Project was originally implemented via [ACL No. 17-35](#) released on April 25, 2017, and was extended through September 30, 2025, via [ACL No. 21-117](#) released on

September 30, 2021. An increased SMD of \$150.00 was implemented via [ACL No. 24-59](#) released on August 16, 2024 and effective October 1, 2024.

SMD DEMONSTRATION PROJECT EXTENSION DETAILS

The CDSS has been authorized by FNS to continue operating the Project for the period beginning October 1, 2025, and ending September 30, 2029.

Unless noted in this letter, all other Project policy is unchanged. Please refer to [ACL No. 17-35](#), [ACL No. 21-117](#), [ACL No. 21-117E](#) released on January 11, 2022, and [ACL No. 24-59](#) for additional details regarding the Project, including a list of qualifying medical expenses.

STANDARD MEDICAL DEDUCTION AMOUNT

Under the Project, households who verify medical expenses within the range of \$35.01 to \$185.00 per month will receive a standard medical deduction of \$150. Please note that this is an increase from the previous range of \$35.01 to \$155.00, with an SMD of \$120. Households with medical expenses above \$185.00 per month may verify and claim actual expenses over \$35. When a household claims medical expenses above \$185.00 per month but does not provide verification of expenses above \$185.00 per month, that household may receive the SMD based on verified expenses between \$35.01 to \$185.00.

SMD Eligibility Reference Table:

Verified Medical Expenses	Eligibility
\$35.00 a month and under	Not eligible for medical deduction
\$35.01 to \$185.00 a month	Eligible for the SMD (i.e., \$150.00)
\$185.01 a month and over	Eligible to deduct actual expenses over \$35.00 (i.e., \$150.00+)

Failure to verify medical expenses is not a basis for denying or discontinuing a case. When a household does not verify medical expenses, they will not receive the deduction. The CWD is required to assist applicants and recipients in securing documents and should do so with permission from the household. The SMD is a monthly deduction; only verified monthly medical expenses or one-time expenses (that can be averaged over 12 months) totaling \$35.01 or more qualify an applicant or recipient for the SMD.

Eligible households must be informed at application and recertification about the medical deduction amount and how to claim the SMD or verify medical expenses above \$185.00 per month. As a reminder, medical expenses do not need to be reverified at recertification unless questionable.

STANDARD UTILITY ALLOWANCE OFFSET

While operating the Project, the state must maintain cost neutrality to ensure that federal costs do not increase as a result of the Project. The CDSS will continue to reduce the standard utility allowance (SUA) by \$4 per month for all CalFresh households. The annual SUA amount will be communicated to CWDs with the annual Cost of Living Adjustment increase.

QUALITY CONTROL (QC) IMPACT

The FNS has determined that the Project does not significantly modify the rules for determining a household's eligibility or allotment level. Therefore, the results of reviews in both the active and negative sample frame of households participating in the Project must be included in the State's error rate. All active cases reviewed under the Project must be assigned a case classification code of "1" (included in the error rate calculation) in item #11 of the FNS-380-1 Quality Control Review Schedule. Cases selected for review in the negative sample frame must be assigned a case classification code of "1" in Section II, item #9 of the FNS-245, Supplemental Nutrition Assistance Program (SNAP) Negative Case Action Review Schedule.

QC procedures must be modified for households participating in the Project. The reviewer must first determine if the household is correctly classified for participation under the rules of the Project. For active cases that are correctly classified as participating in the Project, the reviewer will determine the accuracy of the benefit allotment based on verified household circumstances and the Project's rules for benefit determination. For cases that are not correctly classified, the household's eligibility and benefit allotment will be reviewed against SNAP standards established in the Food and Nutrition Act and Federal regulations, taking into account any FNS-approved waivers or State options to deviate from the specific provisions. For negative cases, the reviewer must follow the FNS-310's procedures for determining the validity of a negative action.

In making the determination as to whether the household has been correctly classified, and in conducting reviews against the rules of the Project, QC must apply verification standards and procedures as specified in the FNS-310 Quality Control Review Handbook.

REPORTING REQUIREMENTS

The CDSS will continue to submit the Annual Report and Cost Neutrality Report to FNS. The reports are now due four and a half months after the end of the reporting period to align with Quality Control data availability. Additionally, CDSS will now submit a Sampling Plan with a narrative explanation of the process used to select the sample and conduct case reviews. The Sampling Plan is due to FNS on February 15, 2026.

Annual Report Schedule

Reporting Period	Report Due Date
October 1, 2025, to September 30, 2026	February 15, 2027
October 1, 2026, to September 30, 2027	February 15, 2028
October 1, 2027, to September 30, 2028	February 15, 2029
October 1, 2028, to September 30, 2029	February 15, 2030

Cost Neutrality Report Schedule

Reporting Period	Report Due Date
October 1, 2024, to September 30, 2026	February 15, 2027
October 1, 2026, to September 30, 2028	February 15, 2029

Please refer to the Project approval letter attached for additional information on the reporting requirements for the Sampling Plan, Annual Report, and Cost Neutrality Report.

If you have any questions or need additional guidance regarding the information in this letter, please contact the CalFresh Policy Bureau at CalFreshPolicy@dss.ca.gov.

Sincerely,

Original Document Signed By

ALEXIS FERNÁNDEZ GARCIA
Deputy Director
Family Engagement and Empowerment Division

Attachment



November 14, 2025

Yazmin Saenz
Branch Chief
CalFresh and Nutrition Branch
California Department of Social Services
744 P Street, OB 8 Room 922
Sacramento, California 95814

Dear Branch Chief Saenz:

This letter is in response to the May 21, 2025, request from the California Department of Social Services (the State) to extend the California Standard Medical Deduction demonstration project (the Project) in the Supplemental Nutrition Assistance Program (SNAP). Under the authority granted by section 17(b)(1)(A) of the Food and Nutrition Act of 2008, as amended (the Act), the Food and Nutrition Service (FNS) is pleased to approve your request subject to the enclosed waivers effective October 1, 2025, through September 30, 2029.

FNS approves this request because it improves the efficiency and effectiveness of program administration and streamlines the State agency processes for serving elderly and disabled individuals. Under regular SNAP rules, all individuals who are elderly and/or disabled are entitled to deduct from their income any out-of-pocket medical expenses greater than \$35 per month. To receive this deduction, applicants must provide proof of all medical expenses at both initial application and recertification. For applicants with many medical costs, retaining and submitting proof is burdensome and may result in an applicant not receiving the benefit for which they are entitled. It is also administratively burdensome on the State to process receipts for all medical expenses.

The Project makes the process of receiving a medical deduction easier by reducing the paperwork burden involved for elderly and disabled individuals and eligibility workers. Based on FNS time and cost estimates, the Project saved caseworkers 1,552 hours of additional work reviewing case documentation and calculating actual medical expenses in FY 2024. Extending the Project, which includes simpler verification processes and improved customer service, allows the State to avoid unnecessary disruptions to routine service delivery to this vulnerable population who most need access to nutrition.

The Project has successfully contributed to a significant increase in the uptake of the medical deduction among the elderly and disabled population. From FY 2018 to FY 2024, the number of households receiving an excess medical deduction increased 238 percent. However, of California households receiving an excess medical deduction in FY 2024, only 13 percent received the SMD. FNS is discussing raising the State's SMD amount to improve the uptake of



the SMD. Extending the Project, which includes simpler verification processes and improved customer service, allows the State to avoid unnecessary disruptions to routine service delivery to this vulnerable population who most need access to nutrition.

FNS and the State have agreed to set a standard medical expense of \$185 for elderly and/or disabled households. All eligible participating households will have the SMD of \$150 (standard medical expense minus \$35) applied at initial application or at recertification. Households must provide verification of at least \$35 in monthly medical expenses to receive the SMD. Households with medical expenses above the SMD amount may provide verification to claim actual costs. The SMD amount is based on observed medical expenses and reflects the actual needs among this vulnerable population. The SMD amount may be adjusted if data provided by the State reflects a change in these needs.

FNS analyzed the most recent cost neutrality report the State submitted to FNS and determined the project will remain cost neutral if the State continues to reduce the value of the Heating and Cooling Standard Utility Allowance (HCSUA) by \$4 to offset the cost of this project. To ensure the project remains cost neutral, FNS requires the State to submit annual reports as well as two cost neutrality reports during the approval period. The attached terms and conditions include reporting details and a full reporting schedule.

Please note the following important changes to data reporting requirements and templates effective as of this SMD approval:

- The State must now submit a sampling plan with a narrative explanation of the process used to select the sample and conduct case reviews, prior to the first cost neutrality report. The sampling plan is due on February 15, 2026.
- Annual reports now require submission of data for each month of the reporting period, as defined in the State's current demonstration project approval letter.
- Cost neutrality reports now require the State identify the source(s) of the sample of cases and the rounding procedures the State uses to determine income and allotment calculations on the spreadsheet template.
- FNS is providing templates for the sampling plan and revised templates for all annual and cost neutrality reports through the Waiver Information Management System (WIMS) library. Please refer to the [WIMS User Manual](#) for help locating the libraries and templates.



Please review all templates before the first reporting period and direct any questions to the FNS National staff listed in the WIMS case team using the @ sign.

We are requesting that your agency submit as quickly as possible, written acceptance of these terms and conditions signed by the appropriate State official in WIMS case #12909. Your acceptance letter must also include an attestation that the approval has been shared with relevant State policy and Quality Control officials. Please alert FNS when uploading the document by tagging the relevant Regional and National staff listed in the WIMS case team using the @ sign. FNS looks forward to working with the State on this project.

Sincerely,

DocuSigned by:
Sasha Gersten-Paal
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Sasha Gersten-Paal for
Ron Ward
Acting Associate Administrator
Supplemental Nutrition Assistance Program



APPROVED WAIVERS
CALIFORNIA STANDARD MEDICAL DEDUCTION PROJECT
(CA SMD)

The Standard Medical Deduction demonstration project (the Project) waivers are approved in accordance with the requirements to operate demonstration projects under Section 17(b) of the Food and Nutrition Act of 2008, as amended (the Act). The waivers described below only apply to the elderly or disabled Supplemental Nutrition Assistance Program (SNAP) applicants in California who incur out-of-pocket medical expenses (excluding special diets) in excess of \$35 a month.

APPROVED WAIVERS

Statutory Waivers

Section 5(e)(5)(A) of the Act establishes the excess medical deduction that allows elderly or disabled SNAP participants to deduct the portion of their actual medical expenses, excluding special diets, that exceeds \$35 for the purpose of determining eligibility and benefit amounts.

The Food and Nutrition Service (FNS) is waiving section 5(e)(5)(A) of the Act to allow the California Department of Social Services (the State) to establish a standard medical deduction (SMD) amount to replace the actual costs of medical expenses in excess of \$35 (excluding special diets) incurred by elderly or disabled SNAP applicants.

Regulatory Waivers

7 CFR 273.9(d)(3) allows elderly or disabled SNAP participants to deduct the portion of their medical expenses incurred, excluding special diets, in excess of \$35 for the purpose of determining eligibility and benefit amounts.

FNS is waiving 7 CFR 273.9(d)(3) to allow the State to establish a SMD amount to replace the actual value of incurred medical expenses in excess of \$35 (excluding special diets) for elderly or disabled SNAP applicants.

7 CFR 273.14(b)(4) requires the State to verify information provided by the household at recertification in accordance with 7 CFR 273.2(f)(8)(i).

7 CFR 273.2(f)(8)(i) requires the State to verify at recertification previously unreported medical expenses and total recurring medical expenses claimed by households which are changed by \$25.01 or more. It also requires the State to verify at recertification total medical expenses that have changed by \$25 or less if the information is incomplete, inconsistent, inaccurate, or outdated.

FNS is waiving the provisions at 7 CFR 273.14(b)(4) and 273.2(f)(8)(i) to allow the elderly or disabled to self-attest to incurred medical expenses in excess of \$35 at recertification in order

to continue receiving the SMD and to require verification only if questionable. This waiver only applies to households participating in the Project and only applies to verifications for medical expenses in excess of \$35 for these households. For all other verifications at recertification the State must follow the procedures outlined in 7 CFR 273.2(f)(8)(i).

GENERAL

- The State is authorized to operate its Standard Medical Deduction demonstration project (the Project) for a period of 4 years, effective October 1, 2025, through September 30, 2029.
- FNS reserves the right to withdraw this waiver approval and terminate the Project at any time during its operation if FNS determines that it is inconsistent with the goal of increasing the efficiency of SNAP and improving the delivery of SNAP benefits to provide food assistance to improve nutrition among low-income individuals.
- If any Federal laws regarding this Project change during the approved period, the State will submit a modification request to FNS to ensure the Project's terms and conditions reflect current Federal law. FNS will review and approve the modification in accordance with section 17(b)(1)(D) of the Act.
- The State will establish a standard medical expense of \$185 a month to replace the actual, allowable costs of out-of-pocket medical expenses in excess of \$35 (excluding special diets) per month incurred by elderly or disabled SNAP applicants or participants, as defined in 7 CFR 271.2. All eligible participating households will have the SMD of \$150 (standard medical expense minus \$35) applied at initial application (or at recertification if they did not previously qualify for the SMD).
- Households with medical expenses over the standard medical expense of \$185 a month may opt out of the Project and follow normal SNAP rules.
- To be eligible for the SMD, households must verify that an elderly or disabled household member incurs more than \$35 a month in qualifying medical expenses in accordance with the regulations in 7 CFR 273.2(f)(1)(iv). Households must provide verification of allowable medical expenses in excess of \$35 at initial certification.
- The State will continue to reduce the Heating or Cooling Standard Utility Allowance (HCSUA) by \$4 to offset the increased cost of applying a SMD for eligible households whose excess medical costs are less than the approved standard. There is no change to the HCSUA offset amount based on the cost neutrality report submitted to FNS on December 11, 2024. As a reminder, States can only complete adjustments to these offsets via submission of a cost neutrality report to FNS, and not as part of the annual HCSUA update and approval process.

- Participating households will remain eligible for the SMD at subsequent recertification if they declare that their allowable medical expenses incurred by an elderly or disabled household member continue to exceed \$35 a month. Verification for medical expenses is not required for subsequent recertification unless the declaration is questionable.
- During the interview process, the State will provide households with information about the Project.
- The Project does not modify reporting requirements for medical expenses. Project participants are subject to regular SNAP reporting requirements and the State must act in accordance with the regulations at 7 CFR 273.12(c).
- The State will explain to eligible non-SMD households that they may qualify for the SMD during their certification period by reporting and verifying new medical expenses in excess of \$35.
- The State will explain to Project participants that they can opt out of the Project and follow normal SNAP rules if their medical expenses exceed the standard medical expense of \$185.
- State eligibility workers will receive training as well as tools and guides to assist in reviewing and documenting medical expenses for each household member at certification or recertification.
- Households must meet all other SNAP criteria in order to be eligible for the SMD or excess medical deduction.

EVALUATIONS

The State is required to submit Annual and Cost Neutrality Reports regularly throughout the approval period. Annual Reports are due each year; Cost Neutrality reports are required every other year. Below is the comprehensive reporting schedule.

California Standard Medical Deduction Reporting Schedule

Report Type	Reporting Period	Report Due Date
Sampling Plan		February 15, 2026
Cost Neutrality Report with Annual Report	October 1, 2025 – September 30, 2026	February 15, 2027
Annual Report	October 1, 2026 – September 30, 2027	February 15, 2028

Report Type	Reporting Period	Report Due Date
Cost Neutrality Report with Annual Report	October 1, 2027 - September 30, 2028	February 15, 2029
Renewal Request		May 31, 2029
Annual Report*	October 1, 2028 - September 30, 2029	February 15, 2030

*If the State extends the Project, this report will be due during the new approval period. If the State discontinues the Project, this report will accompany a Project close-out report; the details of which are to be determined by FNS.

Sampling Plan

The State will provide FNS with a narrative explanation (Sampling Plan) of the process used to select the sample and conduct case reviews. FNS recently created the Demonstration Project Sampling Plan and Case Review Procedures Template to guide State agencies through the steps of creating a sampling plan and the process for reviewing and reporting sampled case review results to FNS. Please review the template upon receipt and direct any questions to the FNS National staff listed in the WIMS case team using the @ sign. Using the sampling plan template available in WIMS, the State will report on the following information:

1. **State Agency and Demonstration Project Information**

1.1. **State, District, or Territory**

1.2. **Demonstration Project:** (SMD)

1.3. **State agency contact:** (Name, Title, Email, and Phone number)

1.4. **Template submission date:** (MM/DD/YYYY)

2. **Sampling**

2.1. **State agency entity responsible for sampling:** If multiple entities, clarify for which step(s) each entity is responsible.

2.2. **Sample universe:** The sample universe is the entire set of cases that could be included in the sample. It is the total population from which a sample is drawn.

2.3. **Sample source:** The sample source is the specific origin from which the sample will be drawn for the case review component of the demonstration project evaluation.

2.4. **Sample month(s):** For each sample source, indicate the month or months within the reporting period from which the State agency will sample cases to reach the minimum required sample size of active cases.

- 2.5. **Sample frame construction:** The sample frame is an unduplicated list of all the cases from the sample universe during the sample month(s).
- 2.6. **Oversampling rate:** The oversampling rate is the percentage of cases expected to be not subject to review or nonresponsive.
- 2.7. **Random sampling method for selecting cases:** A random sampling method must be used to select cases from the sampling frame.

3. Case Review Procedures

- 3.1. **State agency entity responsible for conducting case reviews:** If multiple entities, clarify for which step(s) each entity is responsible.
- 3.2. **Process for providing sampled cases to case reviewers:** Describe how the random sample of cases will be provided to case reviewers and how personally identifiable information and other sensitive information will be protected.
- 3.3. **Cases sampled from the State agency's active QC sample:** Complete this section if you will sample cases from the active QC sample.
- 3.4. **Case review process for cases sampled from a source other than the active QC sample:** Complete this section if you will sample cases from a source other than the active QC sample.
- 3.5. **Recalculating SNAP benefit amount process:** Describe the process for recalculating the benefit amounts for the sample cases based on the data elements captured in sections 3.3 and 3.4.
- 3.6. **Quality assurance process:** Describe the quality assurance process for checking the case-level data for accuracy and completeness.

4. Reporting

- 4.1. **State agency entity responsible for reporting:** If multiple entities, clarify for which step(s) each entity is responsible.
- 4.2. **Data compilation process:** Describe how the State agency will consolidate the case review results from section 3 into the appropriate FNS reporting template.
- 4.3. **Quality assurance process:** Describe the quality assurance process for checking the case-level data for accuracy, reasonableness, and completeness.
- 4.4. **Reporting:** Describe the process for finalizing and submitting the completed reporting template to FNS.

Annual Report

The State will provide FNS with an annual report on a yearly basis to allow FNS to monitor SMD trends. FNS recently updated the SMD annual report template and created the SMD Reporting Template Procedures document for ease of use. Please review both documents before the first reporting period and direct any questions to the FNS National staff listed in the WIMS case team using the @ sign. Using the report template available in WIMS, the State will report on the following information:

- **State:** Enter the name of your State.
- **Reporting Period Months (Month-Year):** Enter the month and year for each month of the reporting period.
- **SNAP Households:** Enter the total number of SNAP households active in the associated reporting period month.
- **Elderly/Disabled SNAP Households:** Enter the total number of SNAP households (1) that contain at least one member who is aged 60 or older or has a disability and (2) that were active in the associated reporting period month.
- **SNAP Households Receiving Excess Medical Deduction (not SMD):** Enter the total number of SNAP households that received the traditional excess medical deduction (not the SMD) in the associated reporting period month.
- **SNAP Households Receiving SMD:** Enter the total number of SNAP households that received the SMD in the associated reporting period month.
- **SMD Amount:** Enter the FNS-approved SMD amount in effect for the associated reporting period month. The amount should be the same in each month.
- **Offset Amount:** Enter the FNS-approved offset amount in effect for the associated reporting period month.

As you enter data for each month in the reporting period, Excel will automatically calculate the following values:

- **Total SNAP Households Receiving Excess Medical Deduction (not SMD) or SMD:** This data element represents the total number of households each month that received either the traditional excess medical deduction or SMD.
- **Monthly Average:** This data element represents the monthly average across the reporting period for each data element.

Cost Neutrality Report

In addition to the Annual Report, the State will also submit cost neutrality reports every other year. To ensure that Federal costs do not increase because of implementing the approved waiver, the State guarantees that it will maintain cost neutrality for the duration of the Project. Using the Quality Control reviews or a similar process, the State will conduct reviews of a random sample of 200 cases receiving the Standard Medical Deduction within the reporting period to ascertain the households' actual qualifying medical expenses each month. For each of the 200 households in this sample, the State should collect data on all the household's eligible out-of-pocket medical expenses incurred by elderly or disabled household members for the sample month. The State should verify the total medical expenses for each of the 200 cases in the sample. However, the State should not ask for households outside of this sample to provide verification of expenses beyond the initial \$35 unless the household intends to qualify for a higher deduction than the Standard. The 200 cases can be sampled from one or more months within the reporting period. FNS recently updated the SMD cost neutrality report template and created the SMD Reporting Template Procedures document for ease of use. Please review both documents before the first reporting period and direct any questions to the FNS National staff listed in the WIMS case team using the @ sign. Using the report template available in WIMS, the State will report on the following information:

- **Sample Month(s):** List the month(s) the cases were sampled from.
- **SMD Amount:** Enter the FNS-approved SMD amount in effect during the sample month(s).
- **Sample Source(s):** Select the source(s) of your sample of cases.
- **State Rounding Procedures:** Select the rounding procedure your State uses when determining income and allotment calculations per 7 CFR 273.10(e)(1)(ii). The selection will be applied when automatically calculating each case's Excess Medical Deduction (not SMD). The default is "Round Up/Down to Nearest Number."

For each of the 200 or more sample cases, enter the following 4 data points:

- **Household Case Number:** Enter the case number of the household sampled. If the case number contains PII (e.g., Social Security number), enter a case reference number instead.
- **Actual Medical Expenses:** Enter the total amount of allowable medical expenses that the household had in the sample month (do not subtract \$35 from this amount).
- **SNAP Benefit Amount Issued:** Enter the SNAP benefit amount issued to the household in the sample month.

- **SNAP Benefit with Excess Medical Deduction (not SMD):** Enter the SNAP benefit amount you recalculated using the Excess Medical Deduction (not SMD) amount instead of the SMD.

The following data elements are automatically calculated or populated:

- **Excess Medical Deduction (not SMD):** This data element represents the traditional excess medical deduction the household would receive in the absence of the demonstration project. The amount is automatically calculated by subtracting \$35 from the value you entered for the case's Actual Medical Expenses in column B. The result is rounded based on your selection for State Rounding Procedures in row 8. If no rounding selection was made, the result is rounded up or down to the nearest whole number.
- **SMD Received:** The data element is automatically populated based on the value you entered for the SMD Amount in row 4.

Please note: When submitting reports to FNS, do not include clients' Personally Identifiable Information (PII). FNS reserves the right to add additional data fields in consultation with the State for reporting purposes.

QUALITY CONTROL (QC)

Authority

7 CFR 275.11(g) governs QC's review of demonstration projects and states, "households correctly classified for participation under the rules of an FNS-authorized demonstration project which FNS determines to significantly modify the rules for determining households' eligibility or allotment level, shall be included in the QC selection and review process". FNS has determined the Project does not significantly modify the rules for determining households' eligibility or allotment level and therefore, the results of the reviews, in both the active and negative sample frames of households participating in the Project, must be included in the State's error rate.

Case Classifications

The State must code all active cases reviewed under the Project with a classification of "1" (included in the error rate calculation) in item #11 of the FNS-380-1, Quality Control Review Schedule. In addition, the State must code all negative cases reviewed under the Project with a classification of "1" (included in the error rate calculation) in Section II, item #9 of the FNS-245, Supplemental Nutrition Assistance Program (SNAP) Negative Case Action Review Schedule.

Modified review procedures

The State must modify QC procedures for households participating in the Project. For all reviews, when verifying household circumstances, reviewers must independently verify all relevant circumstances for the period under review, following the rules for verification found in the FNS-310, SNAP's QC Review Handbook.

To determine if the State correctly classified the household for participation under the Project's rules, the QC reviewer must apply the household's verified circumstances against the eligibility rules of the Project. For active cases, if the State accurately included the household in the Project, the QC reviewer will move on to determine the accuracy of the allotment under review, again based on verified household circumstances and the Project's rules for determining benefit allotments. If the State did not correctly classify the household's participation under the Project, the household's eligibility and allotment under review will be evaluated against SNAP standards established in the Food and Nutrition Act, as amended, and Federal regulations, taking into account any FNS-approved waivers (other than those approved for the Project) or State options that deviate from specific provisions. For negative cases, the reviewer must follow the FNS-310's procedures for determining the validity of a negative action.

REQUEST FOR EXTENSION

If the State wishes to continue the Project, the State should submit a request for extension by May 31, 2029 (4 months in advance of the end of the project period) and it should be signed by the appropriate State official. If the State chooses not to request an extension, notify FNS by May 31, 2029, that the agency will not request an extension of the Project and submit the last Annual Report by February 15, 2030.